

Module: 2, Random Variable (Mathematical Expectation)

Mean of a Random Variable (Mathematical Expectation)

Assuming that two fair coins was tossed, we find that the sample space for our experiment is $S = \{HH, HT, TH, TT\}$. Denote by X the number of heads. Since the 4 sample points are all equally likely, it follows that $P(X = 0) = P(TT) = \frac{1}{4}$, $P(X = 1) = P(TH) + P(HT) = \frac{1}{2}$, and $P(X = 2) = P(HH) = \frac{1}{4}$, where a typical element, say TH , indicates that the first toss resulted in a tail followed by a head on the second toss. Now, these probabilities are just the relative frequencies for the given events in the long run. Therefore, $\text{Mean} = (0)\frac{1}{4} + (1)\frac{1}{2} + (2)\frac{1}{4} = 1$.

This result means that a person who tosses 2 coins over and over again will, on the average, get 1 head per toss.

Definition 1

Let X be a random variable with probability distribution. The **mean**, or **expected value**, of X is

$$E(X) = \begin{cases} \sum_{x \in X} xP(x) & \text{if } X \text{ is discrete} \\ \int_{-\infty}^{\infty} xf(x)dx & \text{if } X \text{ is continuous.} \end{cases}$$

In general $E(X^r) = \begin{cases} \sum_{x \in X} x^r P(x) & \text{if } X \text{ is discrete} \\ \int_{-\infty}^{\infty} x^r f(x)dx & \text{if } X \text{ is continuous.} \end{cases}$

• $Var(X) = E(X^2) - [E(X)]^2$

Problem 1

Find the expected value of X .

X	0	1	2	3
$P(x)=P(X=x)$	$1/35$	$12/35$	$18/35$	$4/35$

Solution:

$$E(x) = 0(1/35) + 1(12/35) + 2(18/35) + 3(4/35) = 12/7.$$

Problem 2

Let X be the random variable that denotes the life in hours of a certain electronic device. The probability density function is

$$f(x) = \begin{cases} \frac{20000}{x^3} & \text{if } x > 100 \\ 0 & \text{otherwise} \end{cases}$$

Find the expected life of this type of device.

Solution:

$$E(X) = \int_{-\infty}^{\infty} (x)f(x)dx = \int_{100}^{\infty} \frac{20000}{x^2} dx = 200.$$

Therefore, we can expect this type of device to last, on average, 200 hours.

Theorem: Let X be a random variable with probability distribution. The expected value of the random variable $Y = g(X)$ is

- $E(Y = g(X)) = \sum g(X)P(X = x)$, if X is discrete, and
- $E(Y = g(X)) = \int_{-\infty}^{\infty} g(X)f(x)dx$, if X is continuous.

Problem 3

Suppose that the number of cars X that pass through a car wash between 4:00 P.M. and 5:00 P.M. on any sunny Friday has the following probability distribution:

X	4	5	6	7	8	9
$P(X=x)$	$\frac{1}{12}$	$\frac{1}{12}$	$\frac{1}{4}$	$\frac{1}{4}$	$\frac{1}{6}$	$\frac{1}{6}$

Let $Y = 2X - 1$ represent the amount of money, in INR (Rs), paid to the attendant by the manager. Find the attendant's expected earnings for this particular time period.

Solution

By the above Theorem, the attendant can expect to receive

$$\begin{aligned} E(Y = 2X - 1) &= \sum_{x=4}^{x=9} (2x - 1)P(X = x) \\ &= (7) \left(\frac{1}{12} \right) + (9) \left(\frac{1}{12} \right) + (11) \left(\frac{1}{4} \right) + (13) \left(\frac{1}{4} \right) \\ &\quad + (15) \left(\frac{1}{6} \right) + (17) \left(\frac{1}{6} \right) \\ &= \text{Rs.12.67} \end{aligned}$$

Problem 4

Let X be a random variable with density function

$$f(x) = \begin{cases} \frac{x^2}{3}, & -1 < x < 2 \\ 0, & \text{elsewhere.} \end{cases}$$

Find the expected value of $Y = 4X + 3$.

Solution:

By the above Theorem,

$$E(Y = 4X + 3) = \int_{-1}^2 \frac{(4x + 3)(x^2)}{3} dx = \int_{-1}^2 \frac{1}{3}(4x^3 + 3x^2) dx = 8.$$

Mathematical Expectation Properties

- $E[(aX + b)] = aE(x) + b$
- $Var[(aX + b)] = a^2 Var(X)$
- The variables X and Y are independent if $E(XY) = E(X)E(Y)$
- $Cov(X, Y) = E(XY) - E(X)E(Y)$
- Correlation between X and Y is $\rho(X, Y) = \frac{Cov(X, Y)}{\sigma_x \sigma_y}$, where σ_x is a standard deviation of X and σ_y is a standard deviation of Y .
- If the variables X and Y are independent, then

$$Cov(X, Y) = E(XY) - E(X)E(Y) = 0 \text{ and hence } \rho(X, Y) = 0.$$
- $-1 \leq \rho(X, Y) \leq 1.$

• $\sigma_x = \sqrt{Var(X)}$ and $\sigma_y = \sqrt{Var(Y)}$

Definition

Let X and Y be random variables with joint probability distribution. The **mean, or expected value**, of the random variable $Z = g(X, Y)$ is

- $E(Z) = \sum_{X=x} \sum_{Y=y} g(X, Y)p(x, y),$ if (X, Y) is discrete, and

- $E(Z) = \int_{-\infty}^{\infty} \int_{-\infty}^{\infty} g(X, Y)f(x, y)dxdy,$ if (X, Y) is continuous.

Note

If $g(X, Y) = X$ in the above Definition, we have

$$E(X) = \begin{cases} \sum_{X=x} \sum_{Y=y} xp(x, y) & = \sum_{X=x} xP_x(x), & \text{discrete case,} \\ \int_{-\infty}^{\infty} \int_{-\infty}^{\infty} xf(x, y)dydx & = \int_{-\infty}^{\infty} xf_X(x)dx, & \text{continuous case.} \end{cases}$$

where $P_X(x)(f_X(x))$ is the marginal distribution of X (marginal density function of the random variable X) Therefore, in calculating $E(X)$ over a two-dimensional space, one may use either the joint probability distribution of X and Y or the marginal distribution of X . (marginal density function of the random variable x).

Note

Similarly, we define If $g(X, Y) = Y$ in the above Definition, we have

$$E(Y) = \begin{cases} \sum_{X=x} \sum_{Y=y} yp(x, y) & = \sum_{Y=y} yP_Y(y), & \text{discrete case,} \\ \int_{-\infty}^{\infty} \int_{-\infty}^{\infty} yf(x, y) dx dy & = \int_{-\infty}^{\infty} yf_Y(y) dy, & \text{continuous case.} \end{cases}$$

where $P_Y(y)(f_Y(y))$ is the marginal distribution of the random variable Y (marginal density function of the random variable Y).

The expectation of X^2 is

$$E(X^2) = \begin{cases} \sum_{X=x} \sum_{Y=y} x^2 p(x, y) &= \sum_{X=x} x^2 P_X(x), & \text{discrete case,} \\ \int_{-\infty}^{\infty} \int_{-\infty}^{\infty} x^2 f(x, y) dy dx &= \int_{-\infty}^{\infty} x^2 f_X(x) dx, & \text{continuous case.} \end{cases}$$

Similarly, we can define $E(Y^2)$. In generally, we can define $E(X^r), r \geq 1$

and $E(Y^r), r \geq 1$. for the discrete and continuous random variables X and Y .

Problem 5

Let X and Y be the random variables with joint probability distribution indicated in the following Table.

	$p(x, y)$	x		
		0	1	2
y	0	$\frac{3}{28}$	$\frac{9}{28}$	$\frac{3}{28}$
	1	$\frac{3}{14}$	$\frac{3}{14}$	0
	2	$\frac{1}{28}$	0	0

Find $E(X)$, $E(Y)$ and $E(XY)$.

Solution

The marginal distribution function of X and Y is

	$p(x, y)$	x			$P_Y(y)$
		0	1	2	
y	0	$\frac{3}{28}$	$\frac{9}{28}$	$\frac{3}{28}$	$\frac{15}{28}$
	1	$\frac{3}{14}$	$\frac{3}{14}$	0	$\frac{3}{7}$
	2	$\frac{1}{28}$	0	0	$\frac{1}{28}$
$P_X(x)$		$\frac{5}{14}$	$\frac{15}{28}$	$\frac{3}{28}$	1

To find $E(X)$ and $E(Y)$ using joint probability mass function and marginal distribution of X and Y (**Exercise.**)

Solution Cont...

$$\begin{aligned}
 E(XY) &= \sum_{x=0}^{x=2} \sum_{y=0}^{y=2} xyp(x, y) \\
 &= (0)(0)p(0, 0) + (0)(1)p(0, 1) + (0)(2)p(0, 2) \\
 &\quad + (1)(0)p(1, 0) + (1)(1)p(1, 1) + (1)(2)p(1, 2) \\
 &\quad + (2)(0)p(2, 0) + (2)(1)p(2, 1) + (2)(2)p(2, 2) \\
 &= 0 + 0 + 0 + 0 + p(1, 1) + 2p(1, 2) + 0 + 2p(2, 1) + 4p(2, 2) \\
 &= 0 + \frac{3}{14} + (2)(0) + 0 + (2)(0) + 4(0) \\
 &= \frac{3}{14}.
 \end{aligned}$$

Problem 6

Find $E\left(\frac{Y}{X}\right)$ for the density function

$$f(x, y) = \begin{cases} \frac{x(1+3y^2)}{4}, & 0 < x < 2, 0 < y < 1 \\ 0, & \text{elsewhere.} \end{cases}$$

Solution: We have

$$\begin{aligned} E\left(\frac{Y}{X}\right) &= \int_0^2 \int_0^1 \left(\frac{y}{x}\right) f(x, y) dx dy \\ &= \int_0^1 \int_0^2 \left(\frac{y(1+3y^2)}{4}\right) dx dy \\ &= \int_0^1 \left(\frac{y + 3y^3}{2}\right) dy = \frac{5}{8}. \end{aligned}$$

Problem 7

The joint probability mass function of two dimensional random variables (X, Y) is $p(x, y) = \frac{x+y}{21}, x = 1, 2, 3$ and $y = 1, 2$.

- ① Find the mean of X and Y
- ② Find the variance of X and Y
- ③ Find the standard deviation of X and Y .
- ④ Find the covariance of X and Y .
- ⑤ Find the correlation between X and Y .

Solution

The joint probability mass function of two dimensional random variables (X, Y) is

	$p(x, y)$	y	
		1	2
x	1	$\frac{2}{21}$	$\frac{3}{21}$
	2	$\frac{3}{21}$	$\frac{4}{21}$
	3	$\frac{4}{21}$	$\frac{5}{21}$

Solution Cont...

$$\begin{aligned}
 \text{For (1), } E(X) &= \sum_{x=1}^3 \sum_{y=1}^2 xp(x, y) \\
 &= (1)p(1, 1) + (1)p(1, 2) + (2)p(2, 1) + (2)p(2, 2) \\
 &\quad + (3)p(3, 1) + (3)p(3, 2) \\
 &= (1)\left(\frac{2}{21}\right) + (1)\left(\frac{3}{21}\right) + (2)\left(\frac{3}{21}\right) + (2)\left(\frac{4}{21}\right) \\
 &\quad + (3)\left(\frac{4}{21}\right) + (3)\left(\frac{5}{21}\right) \\
 &= \frac{46}{21}.
 \end{aligned}$$

Solution Cont...

$$\begin{aligned} E(Y) &= \sum_{x=1}^3 \sum_{y=1}^2 yp(x,y) \\ &= (1)p(1,1) + (1)p(2,1) + (1)p(3,1) \\ &\quad + (2)p(1,2) + (2)p(2,2) + (2)p(3,2) \\ &= (1)\left(\frac{2}{21}\right) + (1)\left(\frac{3}{21}\right) + (1)\left(\frac{4}{21}\right) \\ &\quad + (2)\left(\frac{3}{21}\right) + (2)\left(\frac{4}{21}\right) + (2)\left(\frac{5}{21}\right) \\ &= \frac{33}{21}. \end{aligned}$$

Solution Cont...

$$\begin{aligned}
 \text{For(2), } E(X^2) &= \sum_{x=1}^3 \sum_{y=1}^2 x^2 p(x, y) \\
 &= (1^2)p(1, 1) + (1^2)p(1, 2) + (2^2)p(2, 1) + (2^2)p(2, 2) \\
 &\quad + (3^3)p(3, 1) + (3^2)p(3, 2) \\
 &= (1) \left(\frac{2}{21} \right) + (1) \left(\frac{3}{21} \right) + (4) \left(\frac{3}{21} \right) + (4) \left(\frac{4}{21} \right) \\
 &\quad + (9) \left(\frac{4}{21} \right) + (9) \left(\frac{5}{21} \right) \\
 &= \frac{114}{21}.
 \end{aligned}$$

Solution Cont...

$$\begin{aligned} E(Y^2) &= \sum_{x=1}^3 \sum_{y=1}^2 y^2 p(x, y) \\ &= (1^2)p(1, 1) + (1^2)p(2, 1) + (1^2)p(3, 1) \\ &\quad + (2^2)p(1, 2) + (2^2)p(2, 2) + (2^2)p(3, 2) \\ &= (1) \left(\frac{2}{21} \right) + (1) \left(\frac{3}{21} \right) + (1) \left(\frac{4}{21} \right) \\ &\quad + (4) \left(\frac{3}{21} \right) + (4) \left(\frac{4}{21} \right) + (4) \left(\frac{5}{21} \right) \\ &= \frac{57}{21}. \end{aligned}$$

Solution Cont...

$$\begin{aligned}\sigma_x^2 &= \text{Var}(X) = E(X^2) - [E(X)]^2 \\ &= \frac{114}{21} - \left[\frac{46}{21}\right]^2 = \frac{2394}{441} - \frac{2116}{441} \\ &= \frac{278}{441}.\end{aligned}$$

$$\begin{aligned}\sigma_y^2 &= \text{Var}(Y) = E(Y^2) - [E(Y)]^2 \\ &= \frac{57}{21} - \left[\frac{33}{21}\right]^2 = \frac{1197}{441} - \frac{1089}{441} \\ &= \frac{108}{441}.\end{aligned}$$

Solution Cont...

$$\text{For(3), } \sigma_x = \sqrt{\text{Var}(X)} = \sqrt{\frac{278}{441}} = 0.794$$

$$\sigma_y = \sqrt{\text{Var}(Y)} = \sqrt{\frac{108}{441}} = 0.495$$

$$\text{For(4), } \text{Cov}(X,Y) = E(XY) - E(X)E(Y).$$

First we have to find $E(XY)$.

Solution Cont...

$$\begin{aligned}
E(XY) &= \sum_{x=1}^3 \sum_{y=1}^2 xyp(x, y) \\
&= (1)(1)p(1, 1) + (1)(2)p(1, 2) + (2)(1)p(2, 1) + (2)(2)p(2, 2) \\
&\quad + (3)(1)p(3, 1) + (3)(2)p(3, 2) \\
&= (1)p(1, 1) + (2)p(1, 2) + (2)p(2, 1) + (4)p(2, 2) \\
&\quad + (3)p(3, 1) + (6)p(3, 2) \\
&= (1)\left(\frac{2}{21}\right) + (2)\left(\frac{3}{21}\right) + (2)\left(\frac{3}{21}\right) + (4)\left(\frac{4}{21}\right) \\
&\quad + (3)\left(\frac{4}{21}\right) + (6)\left(\frac{5}{21}\right) = \frac{72}{21}.
\end{aligned}$$

Solution Cont...

$$\text{Therefore, } \text{Cov}(X,Y) = E(XY) - E(X)E(Y)$$

$$= \frac{72}{21} - \left(\frac{46}{21}\right)\left(\frac{33}{21}\right)$$

$$= \frac{1512}{441} - \frac{1518}{441}$$

$$= \frac{-6}{441}$$

$$= -0.0136$$

Solution Cont...

$$\begin{aligned}\text{For (5), } \rho(X, Y) &= \frac{\text{Cov}(X, Y)}{(\sigma_x)(\sigma_y)} \\ &= \frac{-0.0136}{(0.794)(0.495)} \\ &= \frac{-0.0136}{0.393} \\ &= -0.035\end{aligned}$$

Problem 8

Let X and Y be the random variables with joint probability distribution indicated in the following Table.

	$p(x, y)$	x		
		0	1	2
y	0	$\frac{3}{28}$	$\frac{9}{28}$	$\frac{3}{28}$
	1	$\frac{3}{14}$	$\frac{3}{14}$	0
	2	$\frac{1}{28}$	0	0

- Find the covariance of X and Y .
- Find the correlation between X and Y .

Problem 9

The fraction X of male runners and the fraction Y of female runners who compete in marathon races are described by the joint density function

$$f(x, y) = \begin{cases} 8xy, & 0 \leq y \leq x \leq 1 \\ 0, & \text{elsewhere.} \end{cases}$$

- 1 Find the covariance of X and Y .
- 2 Find the correlation between X and Y .

Solution

We first compute the marginal density functions of X and Y (Exercise).

They are

$$f_X(x) = \begin{cases} 4x^3, & 0 \leq x \leq 1, \\ 0, & \text{elsewhere.} \end{cases}$$

$$f_Y(y) = \begin{cases} 4y(1 - y^2), & 0 \leq y \leq 1, \\ 0, & \text{elsewhere.} \end{cases}$$

Solution Cont...

From these marginal density functions, we compute

$$E(X) = \int_0^1 x4x^3 dx = \frac{4}{5} \text{ and}$$

$$E(Y) = \int_0^1 y4y(1-y^2)dy = \frac{8}{15}.$$

From the joint density function given above, we have

$$E(XY) = \int_0^1 \int_y^1 xy8xydxdy = \frac{4}{9}.$$

$$\begin{aligned} \text{For(1)} \quad \text{Cov}(X,Y) &= E(XY) - E(X)E(Y) \\ &= \frac{4}{9} - \left(\frac{4}{5}\right)\left(\frac{8}{15}\right) \\ &= \frac{4}{225} \end{aligned}$$

Solution Cont...

First we have to find $E(X^2)$, $E(Y^2)$, σ_x^2 and σ_y^2 . $E(X^2) = \int_0^1 4x^5 dx = \frac{2}{3}$
and $E(Y^2) = \int_0^1 4y^3(1-y^2)dy = \frac{1}{3}$.

$$\begin{aligned}\sigma_x^2 &= \text{Var}(X) = E(X^2) - [E(X)]^2 \\ &= \frac{2}{3} - \left[\frac{4}{5}\right]^2 = \frac{2}{3} - \frac{16}{25} = \frac{2}{75}.\end{aligned}$$

$$\begin{aligned}\sigma_y^2 &= \text{Var}(Y) = E(Y^2) - [E(Y)]^2 \\ &= \frac{1}{3} - \left[\frac{8}{15}\right]^2 = \frac{1}{3} - \frac{64}{225} = \frac{11}{225}.\end{aligned}$$

Solution Cont...

$$\begin{aligned}\text{Therefore, } \rho(X, Y) &= \frac{\text{Cov}(X, Y)}{\sqrt{(\sigma_x^2)(\sigma_y^2)}} \\ &= \frac{\frac{4}{225}}{\sqrt{\left(\frac{2}{75}\right)\left(\frac{11}{225}\right)}} \\ &= \frac{4}{\sqrt{66}}.\end{aligned}$$

Moments

Let X be a discrete random variable and X takes the values $x_1, x_2, x_3, \dots, x_n$ with probabilities $p_1, p_2, p_3, \dots, p_n$. Then r^{th} moment is

- $\mu'_r(\text{about origin}) = \sum_{i=1}^n x_i^r p_i$
- $\mu'_r(\text{about any point } x=A) = \sum_{i=1}^n (x_i - A)^r p_i$
- $\mu'_r(\text{about mean } \bar{x}) = \sum_{i=1}^n (x_i - \bar{x})^r p_i$

Similarly, for continuous case on the interval (a, b) , the r^{th} moment is

- $\mu'_r(\text{about origin}) = \int_a^b x^r f(x) dx$
- $\mu'_r(\text{about any point } x=A) = \int_a^b (x - A)^r f(x) dx$
- $\mu'_r(\text{about mean } \bar{x}) = \int_a^b (x - \bar{x})^r f(x) dx$

Mean= $E(X) = \mu'_1$ and

$$\text{Variance} = \sigma^2 = E(X^2) - (E(X))^2 = \mu'_2 - (\mu'_1)^2$$

Moment Generating Function (MGF)

The expected values $E(X)$, $E(X^2)$, $E(X^3)$, $\dots$, and $E(X^r)$ are called **moments**. As you have already experienced in some cases, the mean $\mu = E(X)$ and the variance $\sigma^2 = \text{Var}(X)$, which are functions of moments, are sometimes difficult to find. Special functions, called moment-generating functions can sometimes make finding the mean and variance of a random variable simpler.

Although higher order moments of a random variable X may be obtained directly by using the definition of $E(X^n)$, it will be easier in many problems to compute them through the characteristic function or equivalently through the moment generating function of the random variable X .

While the characteristic function analysis exists, the moment generating function need not. **Moment Generating Function (MGF)** of a random variable (discrete or continuous) X is defined as $E(e^{tx})$, where t is real variable, and denoted as $M_X(t)$.

If X is discrete, then $M_X(t) = E(e^{tx}) = \sum_{i=1}^n e^{tx_i} p(x_i)$,

where X takes the values $x_1, x_2, x_3, \dots, x_n$ with probabilities $p(x_1), p(x_2), p(x_3), \dots, p(x_n)$

If X is continuous, then $M_X(t) = E(e^{tx}) = \int_{-\infty}^{\infty} e^{tx} f(x) dx$.

Properties of MGF

- The r^{th} moment μ'_r is the coefficient of $\frac{t^r}{r!}$ in the expansion of $M_X(t)$ in series of powers of t .

$$\begin{aligned}
 M_X(t) &= E(e^{tx}) = E \left[1 + \frac{tx}{1!} + \frac{(tx)^2}{2!} + \dots + \frac{(tx)^r}{r!} + \dots \right] \\
 &= 1 + tE(x) + \frac{t^2}{2!}E(x^2) + \dots + \frac{t^r}{r!}E(x^r) + \dots \\
 &= 1 + t\mu'_1 + \frac{t^2}{2!}\mu'_2 + \dots + \frac{t^r}{r!}\mu'_r + \dots
 \end{aligned}$$

Therefore, μ'_r is the coefficient of $\frac{t^r}{r!}$ in the expansion of $M_X(t)$ in series of powers of t .



$$\mu'_r = E(X^r) = \left[\frac{d^r}{dt^r} (M_X(t)) \right]_{t=0}.$$

In particular, if $r = 1$ then $\mu'_1 = \left[\frac{d(M_X(t))}{dt} \right]_{t=0}$ is the mean of X .

- $M_{cX}(t) = M_X(ct)$
- $M_{aX+b}(t) = e^{bt} M_X(at)$
- $M_{X+Y}(t) = M_X(t) M_Y(t)$

Characteristic function

Let X be a discrete random variable and X takes the values $x_1, x_2, x_3, \dots$ with probabilities $p_1, p_2, p_3, \dots$. Then the **characteristic function** is defined as $\phi_X(t) = E(e^{itx}) = \sum_r e^{itx_r} p(x_r)$.

Similarly, for continuous case $\phi_X(t) = E(e^{itx}) = \int_{-\infty}^{\infty} e^{itx} f(x) dx$.

Properties of Characteristic function

- $\mu'_r = E(X^r)$ = the coefficient of $\frac{i^r t^r}{r!}$ in the expansion of $\phi_X(t)$ in series of ascending powers of it .

•

$$\mu'_r = E(X^r) = \frac{1}{i^r} \left[\frac{d^r}{dt^r} (\phi_X(t)) \right]_{t=0}.$$

In particular, if $r = 1$ then $\mu'_1 = \frac{1}{i} \left[\frac{d(\phi_X(t))}{dt} \right]_{t=0}$ is the mean of X .

- $\phi_{aX+b}(t) = e^{ibt} \phi(at)$
- $\phi_{X+Y}(t) = \phi_X(t) \phi_Y(t)$

Problem 10

Find the moment generating function of the random variable X whose probability mass function $P(X = x) = \frac{1}{2^x}, x = 1, 2, 3, \dots$, Deduce the mean and variance from moment generating function.

Answer: $M_X(t) = \frac{e^t}{2-e^t}$ and mean is 2.

Problem 11

The density function of a continuous random variable X is given by $f(x) = kx(2 - x)$, $0 \leq x \leq 2$. Find k , MGF, mean and variance.

Problem 12

Find the characteristic function of the random variable X whose probability mass function $P(X = r) = q^r p$, $r = 0, 1, 2, 3, \dots$ and $p + q = 1$. Deduce the mean and variance from characteristic function.

Answer: $\phi_X(t) = p(1 - qe^{it})^{-1}$, mean is $\frac{q}{p}$ and variance is $\frac{q}{p^2}$.